

Introduction to Economics

Class 4 — Positive and normative economics; Block 1 wrap-up

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slide 1 of 24

Slide 1 Title

Class 4 closes Block 1. The question of the day: which sentences about the economy can evidence settle, and which cannot? A rent cap in Catalonia runs through the class as the example. The last part puts Classes 1 to 4 on one picture, and project groups form at the break.

Quiz 2

15 minutes · pens down at 10:15

Questions on both sides of the sheet.

Circle the letter of your answer in the block at the top. A question marked + can have more than one correct letter: circle all of them.

Changed your mind? Blacken the wrong circle completely.

Write your name on the block, tear the strip off along the dashed line, hand in *only the strip*.

quiz page, not numbered

Quiz Start of class, on paper

A short quiz on paper opened the class: circle the letter of each answer in the block at the top of the sheet (a question marked + can have more than one correct letter), write your name on the block, tear the strip off and hand in only the strip.

Plan for today

10:00	Quiz 2
10:15	Warm-up: Monday's question
10:19	A rent cap in Catalonia
10:25	Positive and normative
10:39	The advisor's job
10:50	Break — find your project group
11:00	The project; your groups
11:07	Why economists disagree
11:27	Block 1 in one picture
11:42	Before Monday

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Introduction to Economics · Class 4

2

slide 2 of 24

Slide 2 Plan for today

The class at a glance: a warm-up on Monday's last two sentences; a rent cap in Catalonia and what happened to rents and flats; the two kinds of sentence, positive and normative, with exercises; the advisor's job. After the break: project groups, why economists disagree, and Block 1 on one picture.

Two halves of fifty minutes with a ten-minute break between them.

Warm-up — Monday's question

Monday ended with two sentences. Which of them could data show to be wrong?

A) "Spain exports olive oil."



B) "Spain should export more olive oil."

C) Both

D) Neither

The first is checked against customs data — and it holds. "Should export more" needs a "for whom, at what cost": no data settles it.

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Introduction to Economics · Class 4

3

slide 3 of 24

Slide 3 Warm-up: Monday's question

Monday ended with two sentences about olive oil. Which of them could data show to be wrong? Only the first. "Spain exports olive oil" is a claim about the world; customs data check it, and it holds (Spain is the world's largest exporter). "Spain should export more" cannot be shown wrong by any data: it needs a "for whom, and at what cost", which is a value judgement.

C is the trap; D is the reverse trap, taking a true statement for an untestable one. That difference is the topic of the class.

Explaining and advising

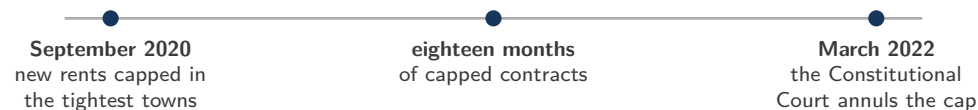
Two jobs an economist is asked to do

slide 4 of 24

Slide 4 Explaining and advising

Two jobs an economist is asked to do: explain how the world works, and advise on what to do about it. In the textbook's terms: as scientists, economists explain; as policy advisors, they recommend.

September 2020: Catalonia capped rents. What happened next?



Did rents fall?
Were fewer flats let?
Should the cap have stayed?

Catalonia's Llei 11/2020, in force from September 2020; annulled by the Constitutional Court in March 2022.

Slide 5 September 2020: Catalonia capped rents. What happened next?

September 2020: Catalonia capped new rents in the towns with the tightest housing markets, Barcelona included; a new contract could not exceed a reference price for the area. Eighteen months later the Constitutional Court annulled the law: rent in a private lease is contract law, which is the state's to set, even though housing policy is Catalonia's.

Three questions follow: did rents fall, were fewer flats let, should the cap have stayed? One of the three is different in kind from the other two: nothing can be measured to answer it.

Rents fell about 5 %. On the flats, two teams disagree

	rents	flats let
Study 1 Jofre-Monseny et al.	−4 to −6 %	no fall found
Study 2 Monràs & Montalvo	about −5 %	about −10 %: those above the cap left

Same law, same years. One answer agreed, one not — back to it after the break.

Jofre-Monseny et al. (2023, *Reg. Sci. Urban Econ.*) · Monràs & Montalvo (2023, FRBSF WP 2023-28).

Slide 6 Rents fell about 5 %. On the flats, two teams disagree

Two research teams, both working from the same register of signed tenancy contracts, both comparing capped towns with similar uncapped ones. On rents they agree: down about 5 %. On the flats they do not. One team found no fall in contracts signed or in the stock of let flats; the other found the supply of flats for rent down about a tenth, because flats priced above their reference price left the market and cheaper ones did not replace them.

Same law, same years, same first answer, opposite second answer. Why they differ is slide 17.

Explain, then advise: two kinds of sentence

Positive

the scientist: how things are

- Describes or predicts
- Evidence can confirm or refute it
- Can be false

Normative

the advisor: how things should be

- Recommends
- Rests on values
- No evidence settles it

“Rents fell 5 %”: **positive**. “The cap should have stayed”: **normative**.

Slide 7 Explain, then advise: two kinds of sentence

A positive statement describes or predicts how things are; evidence can confirm or refute it, so it can be false. A normative statement says how things should be; it rests on values, and no evidence settles it.

The scientist speaks in the first kind, the advisor in the second, but the advisor needs the first kind to do the job. From the hook: “rents fell 5 %” is positive; “the cap should have stayed” is normative.

A positive statement can be false

“Spain has the lowest unemployment in the EU.”

Positive: a claim about the world, and checkable.

And false: in 2025 Spain's rate was the *highest* in the EU (10.5 %).

Testable is not the same as true.

Eurostat, annual unemployment rates 2025: Spain 10.5 %, the highest of the 27 member states.

Slide 8 A positive statement can be false

“Positive” means testable, not true. “Spain has the lowest unemployment in the EU” is a positive claim, checkable against the statistics, and false: in 2025 Spain's rate, 10.5 %, was the highest of the 27 member states.

Positive is not the same as correct, and normative is not the same as wrong. A positive claim can also go out of date, which is why the slide says “in 2025”.

In pairs: positive or normative?

- | | | |
|---|--|--------------------------------|
| A | Barcelona's metro should be free for students. | normative: “should” |
| B | A rent cap cuts the number of flats for rent. | positive — and disputed |
| C | Spain's minimum wage is too low. | normative: “too low” |
| D | A 1,500-euro minimum wage would cost 100,000 jobs. | positive: a forecast |
| E | It is unfair that rents rise faster than wages. | normative: “unfair” |
| F | Most economists think tariffs raise prices. | positive: ask a survey |

Three minutes. One verdict per pair on each claim — and the word that decided it.

Slide 9 In pairs: positive or normative?

A is normative (“should”). B is positive: what a cap does to the number of flats can be tested, and the two studies dispute it, so positive does not mean settled. C is normative: “too low” is a judgement about what the wage should be. D is positive: a forecast is a claim about the world, testable once the wage changes, and its number can be wrong. E is normative (“unfair”). F is positive: the sentence contains an opinion, but the claim is about who holds it, and a survey checks that.

The test is not “does it sound opinionated?” but “could evidence, in principle, show it false?”

One sentence, two claims

“Barcelona **should ban tourist flats,
because they **push up rents**.”**

should ban — normative: argue it **push up rents** — positive: test it

Test the second; argue the first. The first does not follow from the second alone: it also needs a value.

Slide 10 One sentence, two claims

“Should ban” is normative: argue it. “Push up rents” is positive: test it, and studies of short-term rentals have, finding rent effects of varying size.

A policy argument usually carries both kinds in one breath, and the first does not follow from the second alone: even if tourist flats do push up rents, whether to ban them depends on what else you value, such as the owners’ income, the visitors or the tax take. The positive claim still matters: if it turned out false, the argument for the ban would collapse. Untangling the two is the skill.

The advisor’s job: take the question apart

“Should Barcelona cap rents?” Write the questions evidence could settle — and the one it cannot.

Do rents fall, and by how much?	evidence
Are fewer flats let?	evidence
Who gains, who loses?	evidence
Is a cheaper flat for some worth fewer flats for others?	values

The advisor answers the first three, then says which values the fourth needs.

Slide 11 The advisor’s job: take the question apart

“Should Barcelona cap rents?” taken apart. Three questions evidence can settle: whether rents fall and by how much; whether fewer flats are let; who gains and who loses. One it cannot: is a cheaper flat for some worth fewer flats for others? That is a value judgement.

The advisor’s job is to answer the first three as well as the evidence allows, then say openly which values the recommendation rests on. Advising means recommending, and a recommendation always carries a value judgement.

Slide 12 Break

Ten minutes. Use them to find your project group of two or three, and sit together afterwards: the names are taken after the break.

Break

Back at 11:00

Find your project group of 2–3. Sit together afterwards.

slide 12 of 24

The project: economics around you

Something you can see for yourself + one idea from the course

good

“Why does the menú del día cost more near Passeig de Gràcia than in Sants?”

too big

“Inflation in Spain”

question

25 %

economics

25 %

evidence

25 %

poster

25 %

20 % of the grade · groups of 2–3 · one A2 poster, one presenter

Slide 13 The project: economics around you

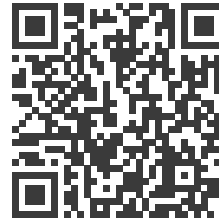
The project in one slide: something you can see for yourself, plus one idea from the course. A good question is specific and local, something you noticed yourself, like why the menú del día costs more near Passeig de Gràcia than in Sants; “inflation in Spain” is too big.

Four criteria, 25 % each. The question, as above. The economics: one course idea, explained in your own words; no model to build. The evidence: what you went and looked at, including what you could not find and where the idea did not fit. The poster: one A2 page readable from two metres, and one presenter who can answer questions.

20 % of the grade, groups of two or three. The full brief is on the course page.

Project groups: today

- Groups of 2–3, formed now; names to me
- Monday 5 October: sign up in class for a 6-minute slot
- The day before your slot: your idea in one paragraph, by e-mail
- Idea meetings: Thursday 8 October, 12:00–13:00
- Topic fixed 15 October · poster session 5 November
- Full brief on the course page



course page

Slide 14 Project groups: today

Project groups, formed now: two or three per group, three at most; the names go to me. Then the steps: on Monday 5 October the sign-up sheet goes round in class, one six-minute slot per group; the day before your slot, your idea in one paragraph by e-mail; the idea meetings are on Thursday 8 October, straight after class, and the whole group comes. Topic fixed by 15 October; poster session on 5 November, one presenter per group, the whole group answering questions.

The full brief, with the criteria, is on the course page (QR code): read it before you choose a slot.

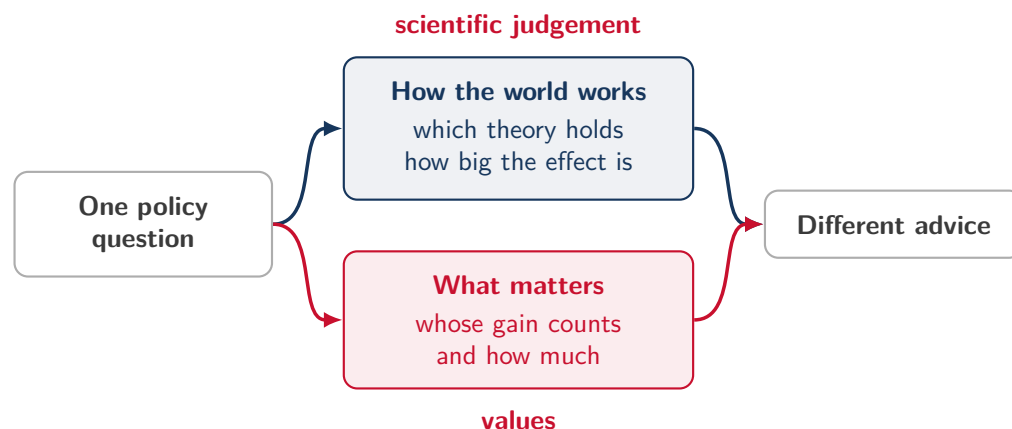
Slide 15 Why economists disagree

Economists disagree in public all the time. The textbook gives two reasons, differences in scientific judgement and differences in values; a third point comes from surveys: much of the disagreement people see is perception.

Why economists disagree

Judgement, values — and what the public thinks

Two reasons to disagree



Evidence can settle the first, in time. Nothing settles the second.

Slide 16 Two reasons to disagree

One policy question can get different advice for two reasons. Economists may differ in scientific judgement: which theory of how the world works is right, and how big an effect is. Or they may differ in values: whose gain counts, and how much. Either difference produces different advice.

Evidence can settle the first kind, in time; nothing settles the second. When two economists disagree, ask which of the two you are hearing.

Judgement: two careful teams, one open question

- Covid hit at the same time: how to separate the two?
- Which towns to compare with
- Which flats: all, or only those above the cap?
- Each team chooses — and the number moves

A dispute about facts. More evidence can end it.

Slide 17 Judgement: two careful teams, one open question

Back to the hook: why did two careful teams get opposite answers on the flats? Both used the same register of signed contracts; neither counted flats on offer. They differ in judgement calls, all of them defensible: Covid arrived in the same months as the cap, and one team adds controls to separate the two effects; which uncapped towns are the right comparison; and whether to split flats by price relative to their reference price, which is where the second team found the exit. Each choice moves the number.

This is a dispute about facts, and more evidence can end it: more years, more towns, and the next cap, since Catalonia capped rents again in 2024.

Values: agreed numbers, opposite advice

Suppose the numbers were settled: rents -5% , a tenth of the flats gone.

Keep the cap
tenants with a flat pay less

Drop the cap
those still looking find fewer flats

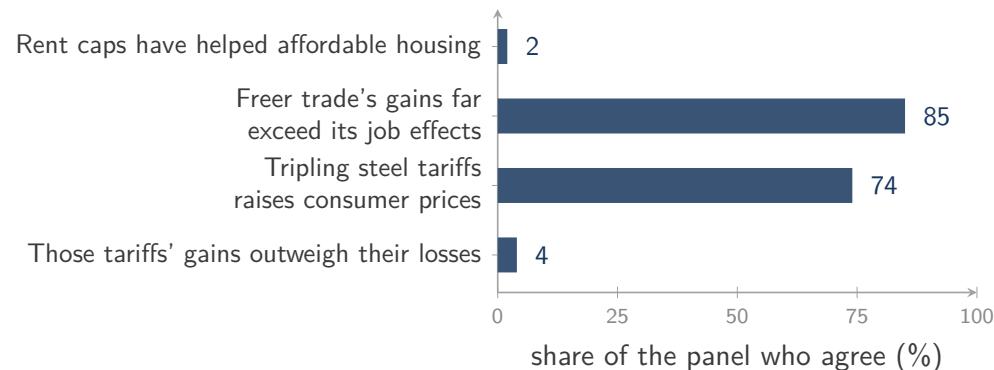
Same numbers. Different weight on the tenant who has a flat and the one who needs one.

Slide 18 Values: agreed numbers, opposite advice

Now suppose the numbers were settled at the second study's: rents 5% lower and a tenth of the flats gone. Two economists can still give opposite advice. Keep the cap: the tenants who have a flat pay less. Drop the cap: those still looking find fewer flats.

Same numbers, different weight on the tenant who has a flat and the one who needs one. No study can end this disagreement: it is about values, and it is a legitimate one.

On many positive claims, economists nearly all agree



On 19 other panel questions, the public was 35 points away on average.

Clark Center US experts panel, 2012 ($n = 41$) and Apr 2024 ($n = 46$) · Sapienza & Zingales, *AER* 2013.

Slide 19 On many positive claims, economists nearly all agree

The bars come from a standing panel of forty to fifty leading US economists. Rent caps have helped affordable housing over three decades: 2% agree. Freer trade's gains far exceed its job effects: 85% . Tripling the tariffs on Chinese steel raises prices at home: 74% ; those tariffs' gains outweigh the losses: 4% . Near 0 or near 100 is agreement.

A 2013 study put 19 other panel questions to a sample of Americans: the public was 35 points from the economists' on average, and furthest where economists agree most. Much public "disagreement among economists" is perception. The rent-cap bar is about decades of US caps, a different question from one cap in Catalonia for eighteen months.

In pairs: judgement or values?

- 1 “A 5-euro tourist tax cuts visitors by 2 %.” — “No, by 10 %.”
judgement: the size
- 2 “Fewer tourists are worth the lost jobs.” — “No, they are not.”
values, not facts
- 3 “Capped landlords will sell up.” — “No: where else would the money go?”
judgement: the theory

Two minutes. Which disputes could a study end?

Slide 20 In pairs: judgement or values?

Three disputes; which could a study end? The first is a disagreement of judgement about the size of an effect: a study of a real tourist tax settles it. The second is about values, whether fewer tourists are worth the lost jobs: no study can settle that. The third is judgement again, about a theory of behaviour: do capped landlords sell up, or keep letting because the alternatives pay less? Data on what capped landlords did settle it, and that is exactly what the two rent-cap teams were measuring.

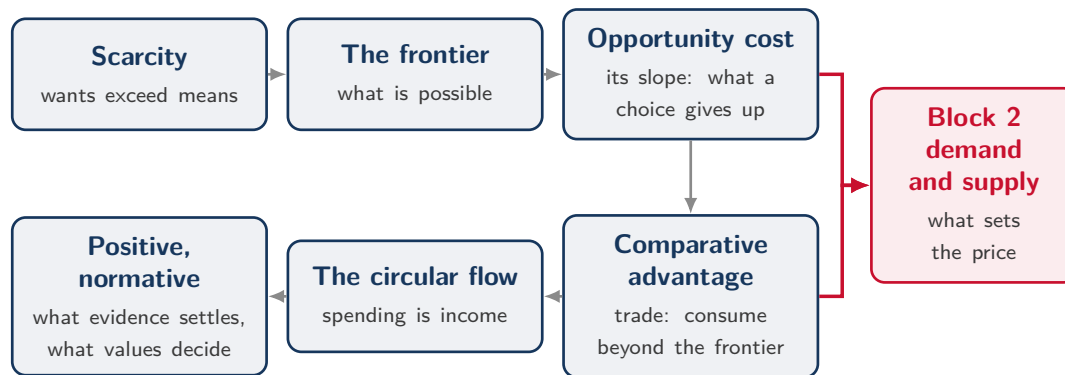
Slide 21 Block 1 in one picture

Block 1 in one picture: Classes 1 to 4, and where Block 2 starts.

Block 1 in one picture

Classes 1 to 4, and where Block 2 starts

What is possible, what it costs, and what we may say about it



Classes 1–4: what is possible and what it costs. Monday: what sets the price.

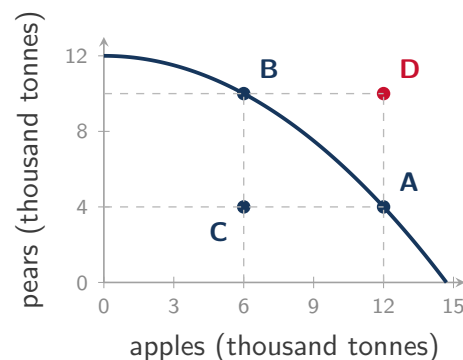
Slide 22 What is possible, what it costs, and what we may say about it

Scarcity: wants exceed means (Class 1). The frontier draws what is possible with the resources we have, and its slope is the opportunity cost of a choice, what you give up (Classes 2 and 3). Comparative advantage, the lower opportunity cost, lets trade move consumption beyond the frontier; the circular flow says that what is spent is someone's income (Class 3). Positive and normative, that is, what evidence settles and what values decide (today).

Everything so far is about what is possible and what it costs. Block 2, from Monday, is about what sets the price; the two red arrows say why: the price a market sets is where opportunity costs meet.

Slide 23 In pairs: one island, one frontier, five claims

In pairs: one island, one frontier, five claims



- 1 D cannot be produced this year.
positive, true
- 2 The island should produce at B, not A.
normative
- 3 At C, the island could grow more of both.
positive, true
- 4 A to B costs 3,000 tonnes of apples.
positive, false: it costs 6,000
- 5 With trade, it can consume beyond the frontier.
positive, true

Four minutes. Positive or normative? If positive: does the graph make it true or false?

A and B lie on the frontier, C inside, D outside. Claim 1 is positive and true: D lies outside the frontier, so it cannot be produced this year. Claim 2 is normative: nothing in the graph says which point is better. Claim 3 is positive and true: C is inside, so the island could grow more of both; the graph shows the waste, not its cause. Claim 4 is positive and false: from A to B apples fall from 12,000 to 6,000 tonnes, so the cost is 6,000 tonnes, not 3,000. Claim 5 is positive and true: production stays on the frontier, but with trade consumption can lie beyond it (Monday's example).

Positive claims come in true and false, and the graph decides; normative ones the graph cannot touch.

Before Monday 5 October

- Read Mankiw & Taylor, Ch. 3, pp. 33–44 — the competitive market, demand, shifts versus movements, supply
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: the sign-up sheet goes round on Monday; the full brief is on the course page
- Monday 5 October — Block 2 begins: demand and supply



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Slide 24 Before Monday 5 October

Before Monday: read Mankiw & Taylor chapter 3, pages 33 to 44, on the competitive market, demand, shifts versus movements along a curve, and supply. Practise Block 1 in Sextant with the units for Classes 2 and 3; Block 1 returns in Midterm 1. Project: the sign-up sheet goes round on Monday; the full brief is on the course page.

Monday, Block 2 begins: demand and supply.

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